

Contentious Chamber

Decision on the merits 46/2024 of March 15, 2024

File number: DOS-2019-05837

Subject: Use of transaction data for personalized discounts

The Contentious Chamber of the Data Protection Authority, composed of MR. HIELKE Hijmans, president, and Messrs. Frank De Smet and Romain Robert, members;

Considering Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation, hereinafter "GDPR");

Considering the law of December 3, 2017, establishing the Data Protection Authority, hereinafter "LCA";

Considering the internal regulations as approved by the House of Representatives on December 20, 2018, and published in the Belgian Official Gazette on January 15, 2019;

Considering the documents in the file;

Has made the following decision regarding:

The complainant:

Mr. X, hereinafter "the complainant"

The defendant:

Y BANK, represented by Me Heidi Waem,
hereinafter "the defendant"

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I. Facts and procedure

1.

On January 10, 2020, the complainant filed a complaint with the Data Protection Authority against the defendant.

2.

The subject of the complaint concerns the defendant's use of personal data, including the content of payment transactions, for the creation of models for the "personalized discounts" service. The complainant asserts that the activation of the "personalized discounts" service occurs only after the data subject has given consent for this purpose, but that for the creation of the models on which this service is based and for which the defendant processes personal and financial data of customers, the defendant invokes its legitimate interest, whereas according to the complainant, consent is required for this purpose. The complainant states that he opposed the "tailored information" offered by the defendant. However, his opposition to the processing of personal data in the creation of models for "personalized discounts" was not taken into account. Furthermore, the complainant notes that for technical and organizational reasons, the opposition to the creation of models for "personalized discounts" using his data was only realized one month later. According to the complainant, this implies that the processes used by the defendant effectively prevent opposition.

3.

On January 14, 2020, the complaint was declared admissible by the Frontline Service based on Articles 58 and 60 of the LCA, and the complaint was forwarded to the Contentious Chamber under Article 62, § 1 of the LCA.

4.

On February 7, 2020, the Contentious Chamber decided, based on Article 95, § 1, 1° and Article 98 of the LCA, that the file could be examined on the merits and informed the parties concerned by registered mail of the provisions as stated in Article 95, § 2 and Article 98 of the LCA. They were also informed, pursuant to Article 99 of the LCA, of the deadlines for submitting their conclusions. The deadline for receiving the defendant's response conclusions was set for March 11, 2020, the deadline for the complainant's reply conclusions for March 26, 2020, and the deadline for the defendant's reply conclusions for April 10, 2020.

5.

On February 12, 2020, the complainant accepted all communications related to the case electronically, in accordance with Article 98 of the LCA.

6.

On February 17, 2020, the defendant requested a copy of the file (Art. 95, § 2, 3° of the LCA), which was transmitted to them on February 25, 2020. The defendant also accepted all communications related to the case electronically and expressed its intention to exercise the right to be heard, in accordance with Article 98 of the LCA.

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7. On March 11, 2020, the Enforcement Chamber received the defendant's response in which he invokes a legitimate interest for the creation of data models for the "personalized discounts" service and argues that the creation of these models constitutes a compatible further processing. The defendant distinguishes between "tailored information" and "model creation" in terms of legal basis and the rights of the data subject, with "tailored information" being based on consent with the right of the data subject to withdraw that consent, and "model creation" being based on legitimate interest with the right of the data subject to object. Furthermore, the defendant asserts that the withdrawal of consent in the context of "tailored information" does not extend to the processing of personal data for the creation of models for "personalized discounts" based on legitimate interest. According to the defendant, the complaint is unfounded.

8. On March 26, 2020, the Enforcement Chamber received the claimant's reply. The claimant argues that the processing of personal data in data models is carried out for a purpose entirely different from that for which the data was initially collected, namely for the execution of the contract that the defendant has with its clients for transaction processing. Therefore, he argues that processing for this new purpose constitutes incompatible processing and that the defendant cannot invoke legitimate interest for the creation of data models for direct marketing purposes for third parties. According to the claimant, there is also no clear distinction between the services "tailored information," "personalized discounts," and the creation of models for these services, such that the transparency and fairness of the processing are compromised. He asserts that the objection to the creation of models for "personalized discounts" is ignored, giving the user the illusion that this right has been exercised, whereas it later turns out that this is not the case. The claimant also finds problematic the duration between the privacy statement of September 1, 2019, and the practical follow-up to the objection, which could only be exercised after the notification of the "personalized discounts" service by letter dated September 21, 2019, adding the additional month required for the defendant to delete the claimant's data. The claimant asserts that during this period, the defendant can create valuable models with transaction data to subsequently offer direct marketing, such that the objection is implemented when the purpose of the processing has already been achieved, making it de facto impossible for the client to object to the processing of their data for this purpose.

9. On April 10, 2020, the Enforcement Chamber received the defendant's reply. The defendant elaborates on the points as presented in the response. An additional point is raised: the absence of interest on the part of the claimant, according to the defendant, such that the complaint is inadmissible according to him and therefore not only unfounded. Furthermore, the defendant delineates the subject of the proceedings by indicating that the claimant has never activated the "personalized discounts" service and has only objected to the use of his data for the creation of models to offer personalized discounts, such that the legality of the processing in the context of the offering of personalized discounts is not on the agenda.

10. On March 22, 2023, the parties are informed that the hearing will take place on April 26, 2023.

11. On April 3, 2023, the parties are informed that due to unforeseen circumstances, the hearing must be postponed to May 9, 2023.

12. On May 9, 2023, the parties are heard by the Enforcement Chamber.

13. On June 5, 2023, the minutes of the hearing are submitted to the parties.

14. On June 12, 2023, the Enforcement Chamber receives some remarks from the defendant regarding the minutes, which it decides to include in its deliberation.

II. Reasoning

a) Interest of the Claimant

15. The defendant primarily emphasizes the absence of any personal and current interest on the part of the claimant. The defendant believes he can deduce this from the fact that the right to object introduced by the claimant was granted before the filing of the complaint and that the claimant's personal data is therefore no longer being processed for the creation of models. According to the defendant, the claimant is not so much denouncing a violation of his own rights but rather, in the name of the general interest of other clients of the defendant, the practices of the defendant and does not aim to preserve his own rights but rather those of other clients.

16. In this regard, the Enforcement Chamber emphasizes that it is only seized for the elements of the complaint for which there is an interest on the part of the claimant. In this respect, the Enforcement Chamber highlights the following:

17. Article 58 of the LCA states: "Any person may file a complaint or a written request, dated and signed, with the Data Protection Authority." In accordance with Article 60, paragraph 2 of the LCA, "A complaint is admissible when it:

- is written in one of the national languages;
- contains a statement of facts and the necessary indications to identify the processing to which it relates;
- falls within the competence of the Data Protection Authority."

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18.

The preparatory works of the LCA state: "Any person may file a complaint or a request with the Data Protection Authority: natural persons, but also legal persons, associations, or institutions wishing to report an alleged violation of the regulation. A complaint or request addressed to the Data Protection Authority must be written, dated, and signed by the competent person in the matter. A request must be interpreted in the broadest sense of the word (request for information or explanation, request for mediation, ...)"¹.

19.

The LCA does not exclude that a person other than the data subject or the person authorized by the data subject, within the meaning of Article 220 of the law of July 30, 2018, on the protection of natural persons with regard to the processing of personal data, may file a complaint with the Authority.

20.

Although the GDPR considers the "complaint" from the perspective of the data subject, imposing obligations on supervisory authorities when a person files a complaint (see Articles 57.1.f) and 77 of the GDPR), the GDPR does not prevent national law from allowing other persons than the data subjects to file a complaint with the national supervisory authority. The possibility of such a referral corresponds to the missions entrusted to supervisory authorities by the GDPR. In this regard and generally, each supervisory authority: ensures the monitoring of the application of the GDPR and compliance with it (Article 57.1.a) of the GDPR) and carries out any other mission related to the protection of personal data (Article 57.1.v) of the GDPR).²

21.

The Contentious Chamber considers in this regard that Article 58 of the LCA gives any person the possibility to file a complaint, provided that they have a sufficient interest, in accordance with the aforementioned provisions of the GDPR.

22.

The condition, however, is that the complainant justifies a sufficient interest. In this regard, the Contentious Chamber emphasizes that based on the documents in the file, it is an undisputed fact that the personal data of the complainant have been used by the defendant to create and train data models on which the "personalized discounts" service is based, which is precisely the subject of the complaint. The defendant's observation that the exercise of the right to object by the complainant has led to an adaptation of the data models so that the current models are no longer based on the complainant's data is, in this regard, absolutely irrelevant. The mere fact that the personal data of the complainant are no longer included in the dataset on which the models will be based and trained, and that the complainant's right to object was granted before the filing of the complaint, does not imply

1 Parl. Doc., House of Representatives, 2016-2017, DOC 54 2648/001, p. 40 (note on Article 58 of the initial bill).

2 In its decision of June 8, 2020, the Contentious Chamber already admitted, under very strict conditions, that a person other than the data subject may file a complaint (Decision on the Merits 30/2020, published on the website of the DPA).

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in no way can the defendant claim that the complainant has no interest in filing the complaint and that his complaint aims solely to protect the general interest of other clients. Not only were the personal data of the complainant removed from the dataset on which the models are trained only after he himself took the initiative and exercised his right to object, but furthermore, the defendant cannot deny that the personal data of the complainant have indeed been processed and that the complainant therefore has an interest in contesting the legal basis for this data processing. The mere fact that the defendant no longer processes the personal data of the complainant in the current situation to create data models on the basis of which personalized discounts are offered does not change this and does not imply that the complainant currently has no interest.

b) Rights of the defense and principles of good administration

23. The defendant indicates that the communication from the Contentious Chamber, stating that it has been seized of the complaint in question, without mentioning the articles of law that may have been violated, implies that the principles of good administration and the rights of the defense concerning the defendant have been violated.

24. However, it appears from the defendant's conclusions, which precisely address each of the points raised by the complainant, that the complaint and the potential violations attributed to it by the complainant were clear from the outset for the defendant.

25. Furthermore, the Contentious Chamber emphasizes that procedural guarantees must be fully respected and that if the defendant suffered any harm due to the manner in which he was informed of the complaint and the violations attributed to him, this harm has been completely eliminated subsequently, which excludes any violation of the principles of good administration. The procedural elements raised by the defendant do not result in a violation of the rights of the defense, given that the defendant had the opportunity to fully present his arguments through the response conclusions. Moreover, the defendant was able to fully exercise his right to contradiction during the hearing of the Contentious Chamber. The defendant therefore suffered no harm, and the rights of the defense have indeed been respected.

3 See in this regard: the Decision on the merits 18/2020 of April 28, 2020; the Decision on the merits 71/2020 of October 30, 2020; the Decision on the merits 133/2021 of December 2, 2021.

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c) Legal basis

26. According to the complainant, the use of transaction data from the defendant's clients to create and train models intended to offer personalized discounts for third-party products and services must be considered as processing for a purpose other than the initial purpose of processing transactions, namely executing and recording payments. This leads the complainant to conclude that the defendant uses the transaction data obtained for the realization of the initial purpose for another incompatible purpose.

27. The Contentious Chamber examines to what extent the defendant can use client transaction data to create data models on the basis of which personalized discounts are subsequently offered.

28. The Contentious Chamber emphasizes that the processing of client transaction data to create data models constitutes processing for a new purpose, given that it does not appear from any document in the file that from the collection of transaction data, thus at the moment the client relationship begins, information was provided regarding this purpose. Article 13.1.c) of the GDPR indeed requires that before starting processing activities, the data subject be informed of the processing purposes for which the personal data is intended, including the legal basis. The creation of data models for commercial purposes constitutes a purpose that was not communicated to clients, including the complainant, at the

beginning of the client relationship. It appears from the complaint that the complainant was not informed of this purpose at the start of the client relationship with the defendant, which the defendant does not dispute either. However, the defendant asserts that the use of transaction data in the data models should be considered as processing that is not incompatible with the initial purposes within the meaning of Article 5.1.b) of the GDPR.

29. In the defendant's privacy statement, dated February 2, 2017, it is stated that the defendant also uses the transaction data of its clients to better understand its clients and to better serve them for all marketing purposes and commercial purposes, as outlined in the privacy statement. It explicitly refers to the purpose that the defendant pursues in order to operate as a business, as well as to the purpose of direct marketing for the defendant's own banking and insurance activities and also for the activities of the defendant's partners who offer products or services in the banking and insurance sector. On this basis, the Contentious Chamber can ascertain that the reuse of the data

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transaction at that time remains limited to commercial activities directly related to the offer of products and services in the banking and insurance sector.

30. The privacy statement of February 1, 2019, indicates that transaction data is used to create analytical data models for commercial purposes, again limiting itself to banking and insurance activities.

31. The Contentious Chamber notes that, in any case, starting from the privacy statement of September 1, 2019, the creation of data models for commercial purposes exceeds the context of banking and insurance products and services, given that from that moment on, it is indicated that data models are created to offer the defendant's customers personalized discounts for third-party products and services. This constitutes a new purpose that must be distinguished from the initial purpose, namely executing and recording payments. The Contentious Chamber verifies whether this new purpose can or cannot be considered compatible with the initial purpose as it was communicated to customers at the beginning of the customer relationship with the defendant.

32. In accordance with Article 5.1.b) of the GDPR, the processing of personal data for purposes other than those for which the personal data were initially collected should only be permitted if it is compatible with the purposes for which the personal data were initially collected. Given the criteria set out in Article 6.4 of the GDPR and Recital 50 of the GDPR, it is therefore necessary to verify whether the subsequent processing, in this case, the creation of data models with a view to offering personalized discounts for third-party products and services, is or is not compatible with the initial processing consisting of executing and recording payments for the complainant. The Contentious Chamber concludes that the complainant entrusted their personal data and transaction data to the defendant within the framework of their contractual relationship with the bank (namely the defendant) that they use, as a customer, for the settlement of their banking operations and that they could not reasonably expect at all that the bank would use this same data, without the complainant being able to oppose it, to create data models that exceed the defendant's banking and insurance activities and are purely intended to offer personalized discounts for third-party products and services.

4 [...]

5 [...]

6 Recital 50 of the GDPR: "[...] In order to determine whether the purposes of further processing are compatible with those for which the personal data were initially collected, the data controller, after having complied with all the requirements related to the lawfulness of the initial processing, should take into account, among other things: any link between these purposes and the purposes of the intended further processing; the context in which the personal data were collected, in particular the reasonable expectations of the data subjects, based on their relationship with the data controller, regarding the subsequent use of such data; the nature of the personal data; the consequences for the data subjects of the intended further processing; and the existence of appropriate safeguards both in the context of the initial processing and the intended further processing."

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products or services from third parties that have absolutely no connection with the activities of the

defendant.

33. Furthermore, the defendant's additional argument that the internal analysis of data and the creation of data models can in this case be equated to processing for research purposes or for statistical purposes within the meaning of Article 5.1.b) of the GDPR, allowing for the consideration that the subsequent processing in question is not incompatible with the initial purposes, is not convincing and therefore cannot lead to a different conclusion. Article 5.1.b) of the GDPR refers to subsequent processing for scientific or historical research purposes or for statistical purposes, these purposes being independent. The purpose pursued by the defendant is not dictated by scientific, historical, or statistical considerations. The creation of data models does not aim at scientific, historical, or statistical purposes as its ultimate goal (for example, the publication of results in scientific journals), but is instead purely and simply established for a commercial purpose, namely the ability to have models that can facilitate the offering of personalized discounts from third parties.

34. This allows us to conclude that there is an absence of compatible subsequent processing, it being understood that a distinct legal basis is required for the creation of data models aimed at offering products or services from third parties to be considered lawful.

35. The processing of personal data, and thus also incompatible subsequent processing as in this case, is indeed lawful only if there is a legal basis for that purpose. For incompatible subsequent processing, it is necessary to rely on Article 6.1 of the GDPR as well as on Recital 50 of the GDPR. Recital 50 of the GDPR indicates that a distinct legal basis is required for the processing of personal data for purposes that are not compatible with the purposes for which the personal data were initially collected. These legal bases

7 Article 5.1.b) of the GDPR:

Personal data must be:

a) [...]

b) collected for specified, explicit, and legitimate purposes, and not further processed in a manner incompatible with those purposes; further processing for archiving purposes in the public interest, for scientific or historical research purposes, or for statistical purposes is not considered, in accordance with Article 89(1), to be incompatible with the initial purposes (purpose limitation);

[...]

Recital 50 of the GDPR: [...] Further processing for archiving purposes in the public interest, for scientific or historical research purposes, or for statistical purposes should be considered a lawful compatible processing operation. [...]

8 Recital 50 of the GDPR: "The processing of personal data for purposes other than those for which the personal data were initially collected should only be permitted if it is compatible with the purposes for which the personal data were initially collected. In this case, no distinct legal basis from that which allowed for the collection of the personal data will be required. [...]"

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distinct grounds that allow for the consideration of processing as lawful, including therefore subsequent incompatible processing, are defined in Article 6.1 of the GDPR.

36. The Dispute Chamber examines to what extent the legal bases as defined in Article 6.1 of the GDPR can be invoked by the defendant to legitimize the subsequent processing of personal data concerning the complainant.

37.

The defendant himself invokes legitimate interest, namely the legal basis as set out in Article 6.1(f) of the GDPR, which would allow him to process data that is the subject of the complaint, namely the creation of data models for the "personalized discounts" service.

38. In accordance with Article 6.1(f) of the GDPR and the case law of the Court of Justice of the European Union (hereinafter "the Court"), three cumulative conditions must be met for a data controller to validly invoke this basis of legality, "namely, firstly, the pursuit of a legitimate interest by the data controller or by the third parties to whom the data are communicated, secondly, the necessity of processing the personal data for the realization of the legitimate interest pursued, and, thirdly, the condition that the rights and fundamental freedoms of the data subject do not prevail" (judgment

"Rīgas"9).

39. In other words, in order to invoke the legal basis of "legitimate interest" in accordance with Article 6.1(f) of the GDPR, the data controller must demonstrate that:

1) the interests pursued with the processing can be recognized as legitimate (the "purpose test");

2) the intended processing is necessary to achieve those interests (the "necessity test");

and

3) the balancing of these interests against the interests, freedoms, and fundamental rights of the data subjects weighs in favor of the data controller (the "balancing test").

40. Regarding the first condition (the so-called "purpose test"), the Dispute Chamber considers that the creation of data models in order to offer personalized discounts to the defendant's customers for third-party products and services should be regarded as being carried out in pursuit of a legitimate interest. This allows the defendant to offer his customers a similar service, just like other banks that also grant discounts in the form of cash-backs. The creation of the data model for which the defendant uses the transaction data of customers, including that of the complainant, aims to offer personalized discounts, which makes

9 CJEU, May 4, 2017, C-13/16, *Valsts policijas Rīgas reģiona pārvaldes Kārtības policijas pārvalde v. Rīgas pašvaldības SIA „Rīgas satiksme”*, paragraph 28. See also CJEU, December 11, 2019, C-708/18, *TK v. Asociația de Proprietari bloc M5A-ScaraA*, paragraph 40.

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part of the market positioning approach. The starting point for the defendant is therefore to better define the service it intends to provide to its clients, taking into account societal developments and trends such as digitization and service personalization, as well as the diversification of the service offering, which is dictated by a commercial interest. Such a commercial interest may constitute a legitimate interest in accordance with recital 47 of the GDPR¹⁰ and is also supported in Opinion 06/2014 of the "Article 29" Working Party on data protection¹¹. The first condition set out in Article 6.1(f) of the GDPR is therefore fulfilled.

41.

In order to fulfill the second condition, it must be demonstrated that the processing is necessary for the achievement of the pursued purposes. This means more specifically that it must be considered whether the same result can be achieved by other means, without processing personal data or without substantial processing that is unnecessary for the individuals concerned.

42.

In this regard, it should be noted that the analysis of transaction data to create models constitutes a necessary tool for achieving the ultimate purpose aimed at, namely the provision of digital applications to offer personalized discounts to the defendant's clients. Data models are a necessary intermediate step between, on the one hand, the transaction data as such and, on the other hand, the offering of personalized discounts electronically. Without creating data models, discounts cannot indeed be offered in a personalized manner via a digital application. This leads to the conclusion that the second condition of Article 6.1(f) of the GDPR is also fulfilled.

43. In order to verify whether the third condition of Article 6.1(f) of the GDPR - the so-called "balancing test" between the interests of the data controller on the one hand and the fundamental freedoms and rights of the data subject on the other hand - can be fulfilled, it is first necessary to take into account the reasonable expectations of the data subject, in accordance with

10 Recital 47 mentions that the processing of personal data for direct marketing purposes can be considered as being carried out to meet a legitimate interest. Direct marketing is therefore an example of a commercial interest that can be considered a legitimate interest. See also the judgment of the Court of Justice of the European Union of July 29, 2019 (case 40/17 *Fashion ID*).

11 Opinion 06/2014 on the notion of legitimate interest pursued by the data controller within the meaning of Article 7 of Directive 95/46/EC:

"The fact that the data controller pursues such a legitimate interest by processing certain data does not mean that it can necessarily invoke Article 7(f) as a legal basis justifying the processing. The legitimacy of the pursued interest is only a starting point, one of the elements that must be analyzed

under Article 7(f). The possibility of invoking this provision will depend on the outcome of the subsequent balancing exercise.

By way of illustration: data controllers may have a legitimate interest in knowing their clients' preferences in order to better personalize their offers and ultimately provide products and services that better meet the needs and desires of clients. In this perspective, Article 7(f) may constitute an appropriate legal basis for certain types of marketing activities, online or offline, provided that there are appropriate safeguards [including, among others, a functional mechanism allowing opposition to such processing in accordance with Article 14(b), as will be seen in Section III.3.6, The right to object and beyond].” [own emphasis]

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regarding Recital 47 of the GDPR. It is necessary to specifically assess whether "the data subject can reasonably expect, at the time and in the context of the collection of personal data, that such data will be processed for a specific purpose."¹²

44. This aspect is also emphasized by the Court in its judgment "TK v. Asociația de Proprietari bloc M5A-ScaraA" of December 11, 2019¹³, which states the following:

"The reasonable expectations of the data subject that their personal data will not be processed are also relevant for the purposes of this balancing, when, in the circumstances of the case, that person cannot reasonably expect further processing of such data."

45. The Contentious Chamber verifies whether the interest of the defendant is proportionate to the impact that the processing has on the fundamental freedoms and rights of the data subjects, including the complainant. In this regard, it is essential to distinguish between, on the one hand, the phase of creating or training data models, and on the other hand, the phase of operationally offering personalized discounts via digital applications that use the models created in the previous phase.

46. Based on the documents in the file, the Contentious Chamber finds that the defendant's method in the context of model creation is conceptually and largely an application of Phase 1 of Scheme 1 as outlined in Recommendation 18 of the Big Data Report¹⁴. Regarding this particular aspect, the Contentious Chamber considers that it is part of the normal expectations of the complainant that the defendant uses their transaction data—unless opposed by the complainant—to train data models (without subsequently using them operationally to offer personalized discounts, for which consent is requested). The defendant can only process, in this regard, data from which the identifiers of data subjects have been maximally removed to train a model, an algorithm, without that model being applied in this phase in an operational context to identified individuals. Attempts to re-identify individuals from the training set (if this were still possible after the maximal removal of identifiers of data subjects) may never be undertaken. According to the defendant, the resulting models are also solely algorithms that no longer contain personal data, and the Contentious Chamber has no evidence to the contrary. In this regard, it should also be noted that at no time are personal data of clients transmitted to third parties. Furthermore,

12 Recital 47 of the GDPR.

13 CJEU, December 11, 2019, C-708/18, TK v. Asociația de Proprietari bloc M5A-ScaraA, Recital 58.

14 <https://www.autoriteprotectiondonnees.be/publications/rapport-big-data.pdf>.

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No document indicates that specific categories of personal data within the meaning of Article 9 of the GDPR are processed in the data models. The Contentious Chamber therefore considers that the impact on the complainant is extremely low and that the processing of their personal data is limited to a minimum in the sense that their data is indeed reused, but that in the phase of creating the models, this processing does not lead to the offer of personalized discounts unless the complainant actively gives their consent for this purpose. Furthermore, the complainant can always exercise their right to object to the use of their data for the creation of models for the offer of personalized discounts from third parties in accordance with Article 21 of the GDPR.

47.

Regarding the offer of personalized discounts for products and services from third parties to identified customers in an operational context (see Phase 2 of Schema 1 as included in Recommendation 18 of

the Big Data Report), the defendant expressly invokes Article 6.1.a) of the GDPR as a distinct legal basis, so that in the absence of consent, the complainant does not suffer any other consequences from the use of their transaction data in the data model, which must be considered simply as an intermediate step for the ultimate purpose aimed at, the offer of personalized discounts. This ensures that only the defendant's customers who have previously given their consent and have expressly chosen to use the "personalized discounts" service benefit from a certain advantage, made possible by the defendant through the reuse of their customers' transaction data in the development of data models.

48. All of the above elements lead the Contentious Chamber to conclude that the third condition is also met and that the defendant rightly invokes the legal basis of Article 6.1.f) of the GDPR for the creation of data models with a view to offering personalized discounts for products and services from third parties, so that this subsequent incompatible processing must be considered lawful.

49. Furthermore, the defendant has complied with the obligation of transparency (Article 5.1.a) of the GDPR in conjunction with Article 12.1 of the GDPR) not only by adapting the privacy statement on September 1, 2019, but also by directly addressing its customers as well as the complainant. The latter received a letter on September 21, 2019, informing them of various aspects included in Article 13.1 of the GDPR, referencing the adapted privacy statement, in preparation for and therefore prior to the launch of the offer of personalized discounts from third parties. The complainant was thus also informed of the possibility to exercise their right to object, which they exercised on September 22, 2019, and to which the defendant responded in a timely and adequate manner, in accordance with Article 12 of the GDPR.

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pursuant to Article 21 of the GDPR, confirming on September 30, 2019, that his objection had been recorded and that his data would no longer be used for model creation.

50. The fact that the defendant indicates in the same letter dated September 30, 2019, that for technical and organizational reasons, this method could only be applied after a period of one month does not change anything. As the defendant specifies in the conclusions and as also emerges from the Big Data Report, training data models is a complex process that requires some time. The Contentious Chamber considers that a one-month period is reasonable to implement the complainant's objection.

51.

A final point raised by the complainant is that he had previously informed the defendant that he did not wish to receive "tailored information," but the facts giving rise to the complaint demonstrate that despite this, the defendant still used his personal data for the creation of models in order to offer personalized discounts from third parties. The defendant demonstrates in the conclusions and in the related documents that there is a clear distinction between, on the one hand, the creation of data models and, on the other hand, "tailored information," which consists of personalized advertising related to services in the banking and insurance sector. This is classic and personalized direct marketing for which the defendant requests prior consent (Article 6.1.a) of the GDPR), based on a transparent explanation of what "tailored information" precisely entails. It appears from the defense and the privacy statement of February 2, 2017, as well as that of February 1, 2019, that the defendant acted in accordance with Article 5.1.a) of the GDPR in conjunction with Article 12.1 of the GDPR. Regarding "tailored information," the complainant has withdrawn his initially given consent. The Contentious Chamber notes that the complainant cannot extend this withdrawal of consent regarding "tailored information" to the "creation of data models for personalized discounts from third parties," which, as stated above, concerns a different purpose and is lawful under the legitimate interest of the defendant, for which the complainant has a right of objection (Article 21 of the GDPR). The creation of data models is therefore a distinct processing operation from "tailored information," which is based on another legal basis, namely legitimate interest (Article 6.1.f) of the GDPR). The withdrawal of consent for "tailored information" cannot be equated with the exercise of the right to object to processing for another purpose, based on legitimate interest, to then conclude that the defendant does not respect the complainant's choice, contrary to what the complainant claims. Furthermore, it appears from the factual elements of the case that the defendant duly complied, in accordance with the GDPR, with the withdrawal of

15 <https://www.autoriteprotectiondonnees.be/publications/rapport-big-data.pdf>.

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Such an appeal may be introduced by means of a contradictory request that must contain the mentions listed in Article 1034ter of the Judicial Code. The contradictory request must be filed with the registry of the Market Court in accordance with Article 1034quinquies of the Judicial Code, or via the e-Deposit computer system of Justice (Article 32ter of the Judicial Code).

(signed) Hielke HIJMANS

President of the Contentious Chamber

16 "The request contains, under penalty of nullity:

1° the indication of the day, month, and year;

2° the name, first name, domicile of the applicant, as well as, where applicable, his qualifications and his national register number or business number;

3° the name, first name, domicile and, where applicable, the quality of the person to be summoned;

4° the subject and a brief summary of the grounds of the request;

5° the indication of the judge who is seized of the request;

6° the signature of the applicant or his lawyer."

17 "The request, accompanied by its annex, is sent, in as many copies as there are parties involved, by registered letter to the clerk of the jurisdiction or filed at the registry."